

Wrap ESG Aware G100

September 2023



Investment Objective

The Portfolio invests in a mix of growth assets, which may include Australian and International Equities, property and infrastructure and alternatives. The portfolio is designed to reduce overall portfolio risk by spreading investments across a number of specialist managers with complementary investment management styles.

Key Features

Timeframe	7 years
Risk/Return	High
Risk	4.40%
Growth/Defensive	100%/0%
Benchmark	Mercer Wholesale - All Growth Average
Minimum Investment	\$100,000

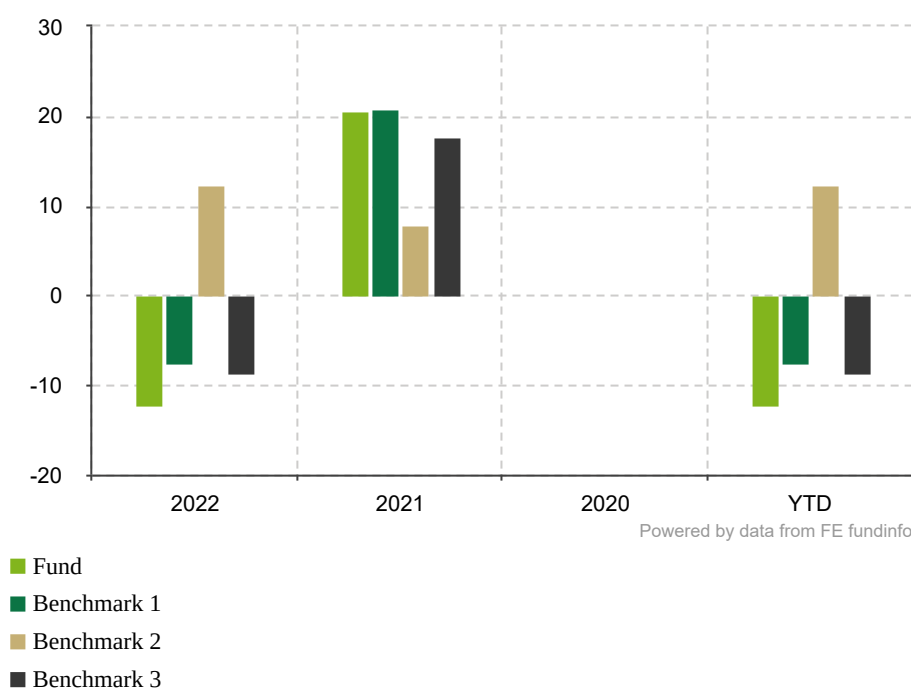
Portfolio Strategy

To provide investors with capital growth over the medium to long term through exposure across growth asset classes. The Portfolio aims to outperform the CPI + benchmark by 4.5% over a period of ten years.

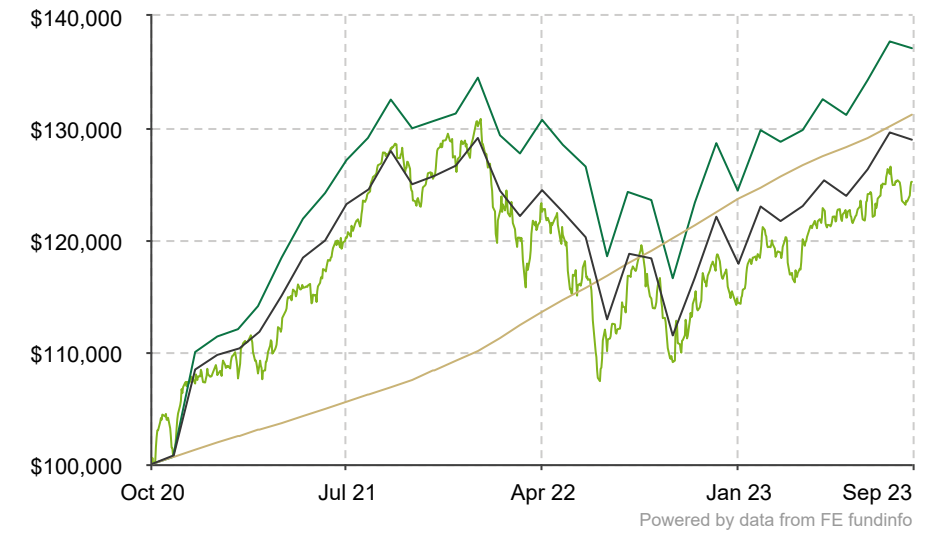
Performance Table

	1 Month	6 Months	3 Years pa	5 Years pa	Since Launch pa
Wrap ESG Aware G100	-2.83%	1.31%	6.75%		9.34%
Mercer Wholesale - All Growth Average	0.00%	5.62%	11.10%	6.80%	13.31%
AUCPI + 4.5	0.00%	3.56%	9.47%	7.94%	8.65%
SAA Composite Accum G100	0.00%	4.81%	8.85%	6.66%	11.44%

Performance Chart



Growth of \$100,000 since inception



- Fund
- Benchmark 1
- Benchmark 2
- Benchmark 3

Market Commentary

Hedged Developed Markets Overseas Shares delivered a 2.8% return. US indices were broadly in line with international developed markets, however, Emerging Markets (unhedged) outperformed with a positive 4.9% return. Value modestly outperformed growth over the period, although when looking on a year-to-date basis, mega-cap tech stocks still dominate returns and has led to increased market concentration within that segment of global markets. Hedged Overseas Government Bonds returned -0.4% over the month, as bond yields across most regions increased in July. Yields on both key long bonds in the US (10-year and 30-year) rose by approximately 15bps over the month. The UK was the only major economy where the 10-year yield fell, albeit modestly. Australian Shares returned 2.9%, marginally outperforming their overseas counterparts in July. Financials (4.9%) and Energy (8.4%) were the strongest sectors of the market, while Healthcare (-1.5%), and Materials (1.4%) detracted.

Economic Outlook

In July, global equity markets maintained current upward momentum with most regions delivering solid, positive returns. On the other hand, fixed income performance was mixed, although in this “risk on” phase of the cycle, riskier parts of the sector fared better. A combination of further declines in headline inflation, resilient economic data, particularly from the US, and market expectations that the current interest rate hiking cycle is nearing an end, led to positive investor sentiment throughout the month.

Inflation data continued to decline, somewhat aided by the impact of last year’s energy price surge rolling off. US headline CPI fell to 3.0% pa and is at the lowest level since early 2021. Similarly, CPI data across the UK, Eurozone and Australia, continues to show easing inflationary conditions, albeit at higher levels than the US. Central banks continued to emphasise a data-driven approach to future rate adjustments. In the US, which is furthest ahead in the inflation cycle, markets are now pricing in a greater than 50% chance that the Fed’s policy rate has peaked and interest rate cuts maybe forthcoming in 2024.

Underlying Fund Return

	1 Month	3 Months	1 Year	3 Years pa	5 Years pa
Alphinity Sustainable Share Fund	-3.22%	-1.26%	11.08%	8.99%	7.09%
Australian Ethical Australian Shares Fund	-2.47%	-0.57%	10.58%	6.89%	7.78%
AXA IM Sustainable Equity Fund	-3.45%	-1.14%	16.14%	10.95%	9.60%
Bell Global Emerging Companies	-4.92%	-4.25%	13.62%	7.13%	8.20%
CC Sage Capital Absolute Return Fund	1.55%	-2.07%	-0.23%	7.74%	-
Ironbark GCM Global Macro Fund	3.89%	7.72%	3.98%	8.63%	4.05%
Magellan Infrastructure Fund (Hedged)	-3.39%	-7.80%	0.86%	1.72%	2.10%
Man AHL Alpha Fund	4.16%	0.53%	-2.78%	6.73%	6.31%
Melior Australian Impact Fund	-3.57%	-3.36%	5.70%	7.38%	-
Nanuk New World Fund	-4.84%	-2.31%	19.28%	9.00%	8.53%
Pendal Horizon Sustainable Australian Share Fund	-4.43%	-2.92%	11.37%	7.15%	4.17%
Platform Cash	0.34%	1.08%	3.56%	1.36%	1.28%
Resolution Capital Global Property Wholesale Trust series II (hedged)	-6.60%	-6.20%	-3.44%	-1.35%	-0.74%
State Street Climate ESG International Equity Fund	-4.15%	-0.89%	19.52%	10.71%	9.57%
Stewart Investors Worldwide Sustainability Fund - Class A	-6.27%	-8.87%	10.69%	2.46%	5.20%

Important Information

For financial adviser use only

The document contains general information only. It has been prepared by Mercer (Australia) Pty Ltd ABN 32 005 315 917 on behalf of Insignia Financial Research Team, a division of the Insignia Financial Group, consisting of Insignia Financial Limited ABN 49 100 103 722 and its related bodies corporate (Insignia). This document is an information service for financial advisers only. It has not been prepared for and should not be distributed to retail or wholesale clients, or any third party person within or outside Australia without Insignia's prior consent. The information in the document is current as at the date of issue and may be subject to change, and any view expressed in the content is not warranted to be objective, complete or accurate. In some cases, the information has been provided to us by third parties. While it is believed that the information is accurate and reliable, the accuracy of that information is not guaranteed in any way. Past performance is not a reliable indicator of future performance, and it should not be relied on for any investment recommendation. Whilst care has been taken in preparing the document, no liability is accepted by any member of Insignia, nor their agents or employees for any errors or omissions in this document, and/or losses or liabilities arising from any reliance on this document.